NATIONAL ASSOCIATION OF INVESTORS CORPORATION

NAIC®

INVESTMENT EDUCATION FOR INDIVIDUALS AND CLUBS SINCE 1951

Stock Check List ®

for Beginning Investors

Company _____

Prepared by _____

Date _____

See Chapter 7 of the NAIC Official Guide.

While Investors are learning to use NAIC's Stock Selection Guide, it is suggested the following Check List be used for each stock considered for investment.

1 PAST SALES RECORD

Sales for most recent year were ..... (1) $ _____

Sales for next most recent year were ..... (2) $ _____

Total of above (1 + 2) ..... (3) $ _____

Figure above divided by 2 ..... (4) $ _____

Sales 5 years ago were ..... (5) $ _____

Sales 6 years ago were ..... (6) $ _____

Total of above (5 + 6) ..... (7) $ _____

Figure above divided by 2 ..... (8) $ _____

Increase in sales in above period (8 from 4) ..... (9) $ _____

Percentage increase in sales (9 divided by 8) ..... (10) _____ %

CONVERSION TABLE

This % Increase in Sales Gives →	27	33	46	61	76	93	112	129	148	205	271
This % Compounded Annual Growth Rate →	5	6	8	10	12	14	16	18	20	25	30

Look for the percent increase that meets the objective you have set.

COMPOUND ANNUAL RATE OF SALES GROWTH WAS _____ %

2 PAST EARNINGS PER SHARE RECORD

Earnings Per Share for most recent year were ..... (1) $ _____

Earnings Per Share for next most recent year were ..... (2) $ _____

Total of above (1 + 2) ..... (3) $ _____

Figure above divided by 2 ..... (4) $ _____

Earnings Per Share 5 years ago were ..... (5) $ _____

Earnings Per Share 6 years ago were ..... (6) $ _____

Total of above (5 + 6) ..... (7) $ _____

Figure above divided by 2 ..... (8) $ _____

Increase in Earnings Per Share in above period (8 from 4) ..... (9) $ _____

Percentage increase in earnings (9 divided by 8) ..... (10) _____ %

See **Conversion Table** above to determine →

Earnings Per Share have increased _____ than sales in this period.
(more) (less)

COMPOUND ANNUAL RATE OF EARNINGS PER SHARE GROWTH WAS _____ %

Explain Apparent Reason for Difference in Sales and Earnings Per Share Growth: _____

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Discuss Possible Reasons for Past Growth:

A new product was very successful_____.

A cyclical business that experienced recovery_____.

A research program has produced several new products or uses for older products_____.

Purchase another company_____.

Has taken larger share of business in its field_____.

Skill of management_____.

Will Factors Which Produced Past Growth Continue Effective

for the next five years_____ yes, _____ yes, but less effective, _____ no.

3 PRICE RECORD OF THE STOCK

Present Price $_____. Present Earnings Per Share_____.

List Last 5 Years	High Price Each Year (A)	Low Price Each Year (B)	Earnings Per Share (C)	Price Earnings Ratio at High (A ÷ C)	Price Earnings Ratio at Low (B ÷ C)
Totals					
Averages					
Average of High and Low Price Earnings Averages for the past five years.					

Present Price is _____ than high price five years ago.
(higher) (lower)

Present Price is _____% higher than the high price 5 years ago. Compare this figure with the percent sales increase in 1 (10) and percent earnings per share increase in 2 (10).

The price change compares with sales growth and earnings per share growth _____.
(favorably or unfavorably)

This stock has sold as high as the current price in _____ of the last 5 years.

In the past five years the stock _____ sold at unusually _____ price earnings ratios.
(has) (has not) (high) (low)

The Present price earnings ratio is _____.

In relation to past price earnings ratios the stock is currently

_____ selling at a higher ratio

_____ selling about the same

_____ selling lower

The average price earnings ratios of the past might be expected to continue _____,

or should be adjusted to _____ high, _____ low.

4 CONCLUSION

1. The past sales growth rate _____ meet our objective.
   (does) (does not)
2. The past earnings per share growth rate _____ meet our objective.
   (does) (does not)
3. Our conclusion has been that possible earnings per share growth rate _____ meet our objective in the coming five years.
   (will) (will not)
4. The price of the stock is currently _____.
   (acceptable) (too high)

This form is not meant to give you an adequate analysis of the stock, but is meant to help the beginner ask questions to indicate whether the company is likely to become more valuable and if it can be purchased reasonably. As Investors gain practice, a more thorough study of the stock is suggested using NAIC's Stock Selection Guide and Report as a guide.